

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

**COMPLAINANT PELOTON INTERACTIVE, INC.’S
RESPONSE TO RESPONDENT
FLEXPORT INTERNATIONAL LLC’S MOTION TO COMPEL**

Complainant Peloton Interactive, Inc. (“Peloton”) respectfully submits this Response in Opposition to Respondent Flexport International LLC’s (“Flexport’s”) Motion to Compel Compliance with Discovery Requests (“Motion”), and respectfully requests that the Presiding Officer deny Flexport’s Motion.

I. Procedural Background

On October 2, 2024, Peloton filed its Verified Amended Complaint (the “Complaint”) before the Federal Maritime Commission (“FMC”) alleging that Flexport engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, et seq. (the “Shipping Act”) and contrary to the store door terms under which Flexport was required to operate. The Complaint provides that Flexport’s unjust and unreasonable practices, and specifically Flexport’s assessment of demurrage, detention, per diem and similar charges (“D&D”) on Peloton, violated the Shipping

Act. Exhibit A to the Complaint identifies the more than 3,200 invoices and accompanying charges at issue in this proceeding.

Pursuant to the Presiding Officer's November 8, 2024 Scheduling Order, the parties exchanged their initial interrogatories and requests for production on November 13, 2024. Peloton served its responses and objections on Flexport on December 13, 2024. Notwithstanding the overly broad and unduly burdensome nature of Flexport's interrogatories and request for production, Peloton provided responses to Flexport in accordance with Rules 145(d) and 146(b)(2)(v) of the FMC's Rules of Practice and Procedure ("Rules"), and consistent with the requirements of Federal Rule of Civil Procedure ("FRCP") 33(d) and 34(b)(2)(E). In response to Flexport's requests, Peloton has produced 20,838 documents totaling approximately 60,000 pages.

The parties held meet and confers regarding discovery issues on December 20, 2024 and January 3, 2025. In the December 20, 2024 conference, Flexport took issue with certain of Peloton's written discovery objections and referrals to its document production pursuant to FMC Rule 145(d). Flexport counsel did not identify to Peloton each purported deficiency until the afternoon of December 28, 2024, when he informed Peloton that he would file a motion to compel if Peloton did not withdraw its discovery objections by the end of the day. In response, Peloton requested a meet and confer to discuss Flexport's position and address deficiencies in Flexport's own responses and production.¹

On January 3, 2025, the parties met and conferred again. Peloton counsel noted that while it had produced documents responsive to Flexport's discovery requests pursuant to Rules 145(d)

¹ In response to Peloton's discovery requests Flexport, among other things, unilaterally limited its search and production to April 1, 2021 onward, rather than the relevant time period of January 1, 2020 onward. Further, Flexport has refused to provide responses to numerous discovery requests on core issues based on relevance.

and 146(b)(2)(v), it would agree to provide bates ranges for responses to certain interrogatories. Peloton then raised issues with Flexport's discovery responses, noting that Flexport failed to provide any substantive responses to several of Peloton's interrogatories and requests for production regarding core issues in this proceeding. In response, Flexport alleged a lack of relevance and again reiterated, as it has in the instant Motion, the incredible contention that it still does not understand the basis for Peloton's claims –notwithstanding that Peloton has laid out its position numerous times in detail in its Amended Complaint and in the extensive briefing on Flexport's denied Motion to Dismiss and pending Motion for Judgment on the Pleadings.² Flexport reiterated its claim that it did not transport containers under "store door" terms – a factual assertion that requires the very discovery Peloton is seeking. At the conclusion of the conference, Peloton advised that it would review and consider amending its responses—but just over an hour later, Flexport filed the present Motion.

For the reasons set forth below, Flexport's Motion should be denied.

II. Legal Standard

FMC Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1). FMC Rule 150 authorizes "the Presiding Officer to compel the production of information when a party fails to respond to a party's discovery requests, has provided insufficient or inadequate responses, or hides behind spurious objections." *Samsung Electronics America, Inc. v. ZIM Integrated Shipping Serv. Inc.*, 22-30, Dkt. 15 (FMC); *see also* 46 C.F.R. § 502.150.

² Peloton further contends that Flexport's effectively nullifies its Motion for Judgment on the Pleadings; by seeking discovery and filing the instant Motion, Flexport has conceded that there are factual disputes that need to be addressed through the discovery process.

The relevance standard in 46 C.F.R. § 502.141(e)(1) is incorporated into the permissible scope of each procedural means of discovery, *e.g.* production of documents (“A party may serve on any other party a request within the scope of § 502.141(e) and (f),” 46 C.F.R. § 502.146(a); interrogatories and “[a]n interrogatory may relate to any matter that may be inquired into under § 502.141(e) and (f),” 46 C.F.R. § 502.145(a)(2)).

However, “the scope of discovery is not boundless, and requests must be relevant and cannot be unreasonably cumulative, duplicative, or unnecessarily burdensome.” *Maier Terminals LLC v. Port Authority of New York and New Jersey*, FMC Docket No. 8-03, 2010 FMC Lexis 31, *11, *12 (ALJ July 23, 2010); *see also Ocean Network Express PTE. LTD and Ocean Network Express (North America) Inc. – Possible Violations of 46 U.S.C. § 41102(C)*, FMC Docket No. 21-17, 2022 WL 1485900, at *2 (ALJ May 4, 2022). Moreover, while parties are encouraged to use “contention” interrogatories, “requesting ‘every fact’ in support of a party’s legal contentions are generally considered to be overly broad and unduly burdensome. A more reasonable request would be limited to the identification of the material or principle facts and documents supporting the legal contentions.” *Ocean Network Express*, 2022 WL 1485900 at *3.

III. Argument

Flexport’s Motion fails on a number of grounds. First, the Motion is premature. Flexport admits that it is still reviewing Peloton’s production, and purports to “reserve[] the right to compel any deficiencies.” (Motion at 4). This approach defies logic and by filing this Motion now, when Peloton agreed to consider amending its responses, Flexport is wasting both the FMC’s and Peloton’s time and resources.

Second, and as discussed more fully below, Peloton’s discovery responses are sufficient and compliant with FMC Rules. Flexport’s Motion has raised purported deficiencies with all but

three of Peloton's production responses, the basis of which are generalized complaints that fail to demonstrate any specific deficiencies—and notwithstanding the fact that Peloton actually agreed to produce documents in response to the majority of Flexport's requests. While Flexport challenges Peloton's responses and objections, a review of Peloton's responses shows that they are responsive to the discovery requests, and that Peloton's objections are specifically tailored to each request with modifications as applicable, as required by Commission practice. See attached Exhibit 1; 46 C.F.R. §502.145(b)(4); 46 C.F.R. §502.146(b)(2); 46 C.F.R. §502.147(a)(5). Further, where a request is objectionable only in part, Peloton's responses and objections provided a partial response, endeavored to identify the objectionable portion(s), and responded to the portion(s) not considered objectionable.

Third, Flexport's Motion does not comply with the Presiding Officer's May 13, 2024 Initial Order, which provides:

A motion to compel should only be filed after good faith efforts between the parties to resolve the dispute The motion must set forth verbatim the interrogatory or request, the response that the moving party argues is insufficient, a summary of the moving party's attempts to secure a sufficient response, and the moving party's argument as to why the response is insufficient. The moving party must provide an electronic copy in a word processing format of the motion to compel to the opposing party and judges@fmc.gov with the PDF copy of the motion sent to the opposing party, judges@fmc.gov, and secretary@fmc.gov.

Doc No. 4. Peloton has made good faith efforts to resolve this dispute without FMC involvement, but Flexport has demonstrated a clear unwillingness to cooperate by choosing to file a premature motion that is both deficient and non-compliant. Further, the Motion is yet another attempt to distract from the core issues in this matter. This tactic, combined with Flexport's refusal to provide essential documents and continued insistence that it does not understand the allegations in this case, is now a pattern of obfuscation. By focusing on peripheral matters and withholding key information, Flexport is diverting attention from the substantive issues that need to be addressed.

This approach not only complicates the resolution process but also undermines the efficiency of this proceeding.

In addition to its substantive failings, Flexport's Motion does not set forth verbatim the interrogatory request or responses to which it objects, and did not provide a "word processing format" of the Motion. Instead, Flexport has provided a convoluted set of five PDF exhibits where it fails to provide specificity regarding its objections, making it nearly impossible for Peloton to respond. If the Presiding Officer does entertain Flexport's improper and premature Motion, Flexport should at least be required to amend its Motion to comply with the Initial Order.

A. Peloton Adequately Responded to Flexport's Interrogatories

Peloton's objections to Flexport's interrogatories are well-founded and common in FMC and federal written discovery practice, including that the interrogatories as proffered are overly broad, unduly burdensome, and ambiguous. At this stage, Flexport's interrogatories—and in particular, its interrogatories requesting that Peloton provide and summarize additional factual information for every one of the 3,200 invoices at issue—place an undue burden on Peloton, as they would require Peloton to compile, summarize and analyze a large amount of data—a task that is more appropriately within the province of expert opinion and discovery.

Contention interrogatories are not intended to obtain each and every fact applicable to a claim. *See Ocean Network Express*, 2022 WL 1485900 at *2; *see also United States v. Maryland & Virginia Milk Producers Ass'n*, 22 F.R.D. 300, 302 (1958) (stating that to answer defendant's interrogatories would be "in effect, to submit a skeletonized brief on the facts and the law"). Moreover, Courts have recognized that contention interrogatories should not be used in a manner that is oppressive or overly burdensome. For example, in *Anderson v. United Parcel Serv., Inc.*, the court acknowledged that interrogatories must be reasonable and not impose undue hardship.

2010 WL 4822564, at *5 (D. Kan. Nov. 2010). Similarly, in *Richlin v. Sigma Design West., Ltd.*, the court noted that the scope of interrogatories should be balanced against the burden they impose. 88 F.R.D. 634, 640 (E.D. Cal. 1980).

Further, FMC Rule 145 specifically provide that “[i]f the answer to an interrogatory may be determined by examining, auditing, compiling, abstracting, or summarizing a party's business records (including electronically stored information), and if the burden of deriving or ascertaining the answer will be substantially the same for either party, the responding party may answer by: (1) Specifying the records that must be reviewed, in sufficient detail to enable the interrogating party to locate and identify them as readily as the responding party could; and (2) Giving the interrogating party a reasonable opportunity to examine and audit the records and to make copies, compilations, abstracts, or summaries.”

Here, Flexport’s interrogatories are unduly burdensome and improper at this stage of the proceeding. A number of Flexport’s interrogatories seek a detailed statement from Peloton of the factual basis **for each and every** Subject Shipment, which would require Peloton to compile and summarize facts for more than 3,200 Subject Shipments.³ Thus, responding to Flexport’s interrogatories as stated would require Peloton to expend extensive time and resources to compile, analyze, and present the information.⁴ Moreover, Flexport’s interrogatories call for information

³ See Interrogatory Nos. 5, 8, 9, 12, 13, 14, 15, 17, 18, 19, 21, 23, and 26.

⁴ For example, Flexport’s Interrogatory No. 13, which mischaracterizes the allegations in the Complaint, requests that Peloton “state specifically how Flexport caused or contributed to the underlying transportation delay as alleged Paragraph 18 of Your Verified Amended Complaint” for each Subject Shipment.

For other interrogatories, Flexport requested the location of certain terms, including asking Peloton to identify each and every “agreement” (which it fails to define) where the term “store door” is located. See, e.g., Interrogatory No. 7 (“Identify each and every agreement between Flexport and Peloton containing and/or referring to ‘store door’ terms as identified in Paragraph 15 of Your Verified Amended Complaint. In Your answer, identify with specificity by citing to the page number of each agreement where the phrase ‘store door’ is located.”).

and analysis that fall squarely within an expert's purview and are thus not ripe at this stage of the proceeding. This is particularly true given the complexity and volume of the data involved. Accordingly, notwithstanding the overly broad and unduly burdensome nature of Flexport's interrogatories, Peloton appropriately responded through referrals to its document production, pursuant to FMC Rule 145 and consistent with the requirements of FRCP 33(d).

As reflected in Exhibit 1, Peloton has produced documents consistent with Rule 145(d) as they are kept in the ordinary course of business, with all corresponding metadata.⁵ Further, in the January 3 meet and confer, Peloton offered to amend its interrogatory responses to provide bates ranges, but Flexport nonetheless filed this premature Motion. In the interest of cooperation, Peloton has supplemented its responses and attaches a spreadsheet identifying the bates numbers for documents responsive to the requests separated into categories (e.g. Invoices, Shipping Documentation, etc.). Within the Spreadsheet, a tab has been created for each category identifying responsive documents. Further, as reflected in Exhibit 1, Peloton identifies applicable categories for each interrogatory response.

B. Peloton Adequately Responded to Flexport's Requests for Production

Peloton has made document productions to Flexport consistent with FMC Rule 146(2)(v)(a) and FRCP 34(2)(e). FMC Rule 146(2)(v)(a) provides that a party may produce electronically stored information ("ESI") "as they are kept in the usual course of business *or* must organize and label them to correspond to the categories in the request" (emphasis added). Consistent with FMC Rule 146, Peloton has produced documents with metadata in fully searchable Relativity load file format as they are kept in the ordinary course of business. *See Bertser v.*

⁵ Metadata is readily available when ESI is collected in a customary fashion (including collection that is not conducted forensically by third-party vendors, but when pulled from email systems by client IT staff and provided for internal review in PST formats).in relativity load file format, which allows for more efficient and accurate searching.

Christmas, No. CIV 2:11-cv-1541-KJM-JFM, 2011 U.S. Dist. LEXIS 114499 (E.D. Cal. Oct. 4, 2011) (“The files are in electronic format and, as proven by plaintiff’s own conduct, relatively easily searchable and, thus, not unduly burdensome.”).

Flexport’s primary argument appears to be that Peloton should be required to produce documents as they are kept in the usual course of business *and* organize *and* label them to correspond to the categories in the request. Neither FMC nor federal court rules require this level of detail in document production responses (and notably, Flexport has not provided such organization and labeling in its own production to Peloton). Rather, once a party demonstrates, as Peloton has done here, that it has produced documents as they are kept in the ordinary course, it has no further duty under either FMC rules or federal discovery rules to organize and label the documents for the convenience of the opposing party. *See National Jewish Health v. WebMD Health Servs. Group*, 305 F.R.D 247, 256 (D. Col. 2014) (“Because NJH has the ability to fully search and sort the WebMD ESI Production, the burden of categorizing that ESI pursuant to each Request for Production is substantially the same for NJH as it is for WebMD.”); *U.S. v. O’Keefe*, 537 F.Supp.2d 14, 19 (2008) (“if the documents were produced as they were kept in the ordinary course of business, the requesting party could not thereafter demand that they be indexed, catalogued, or labeled.”). Flexport’s requests are a transparent attempt to impose an undue burden on Peloton, when it has not taken the same steps with its own discovery responses and document production.

Despite the non-compliant format of Flexport’s Motion, Peloton has attempted to conform its specific responses to the requirements of the Initial Order in Exhibit 1, attached hereto.

IV. Conclusion

For the reasons set forth herein, Peloton respectfully requests that Flexport’s Motion be Denied.

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Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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